care of all the public goods and interfere in none of the private ones. Clearly this is an abstraction even in relation to the developed world. Yet it is regarded as a useful starting point for a number of reasons. First, it is argued, the model is in important respects a reasonable approximation of reality. Second, it usefully serves as a common point of departure, deviations from which – and the fewer the better – have to be justified. This disciplines research, preventing original but muddled thinkers from generating results simply by making unorthodox assumptions. This enables economists to talk to each other rather than past each other, and to see the implications of their favourite deviation by comparing the conclusions from the model incorporating it with the outcomes from the complete markets model. This methodical one-step deviation approach enhances debate and understanding (and makes refereeing for scholarly publications easier). Third, the model is mathematically tractable and allows elegant theorems and proofs.

The point of building models is to learn about the real world by abstracting from details that are irrelevant to the issue being considered. Without models, we would just have descriptions. But while some abstraction is important, gross abstraction can make a model irrelevant. And for many situations, at least in the developing world, the complete markets model is too far distanced from reality to be useful. Take, for example, armed conflict, which plagues many poor countries. It is usually viewed as wasting resources and therefore being economically inefficient. There is no room for conflict in the complete markets paradigm: with complete markets, we would simply anticipate all possible situations of conflict and contract them away. But in truth, an important reason for continued conflicts in some countries is that there is simply no credible mechanism to enforce